



dino
najbliżej Ciebie

1H 2018 Financial results

21st August 2018

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Our achievements in 1H 2018



+74 stores
(+49 in 1H 2017)



+26.4% net sales area y-o-y
(+22.7 in 1H 2017 y-o-y)



+34.2% sales y-o-y
(+31.6% in 1H 2017 y-o-y)



+14.7% LFL y-o-y
(+14.7 in 1H 2017 y-o-y)



+37.7% EBITDA¹ y-o-y
(+37.3% in 1H 2017 y-o-y)



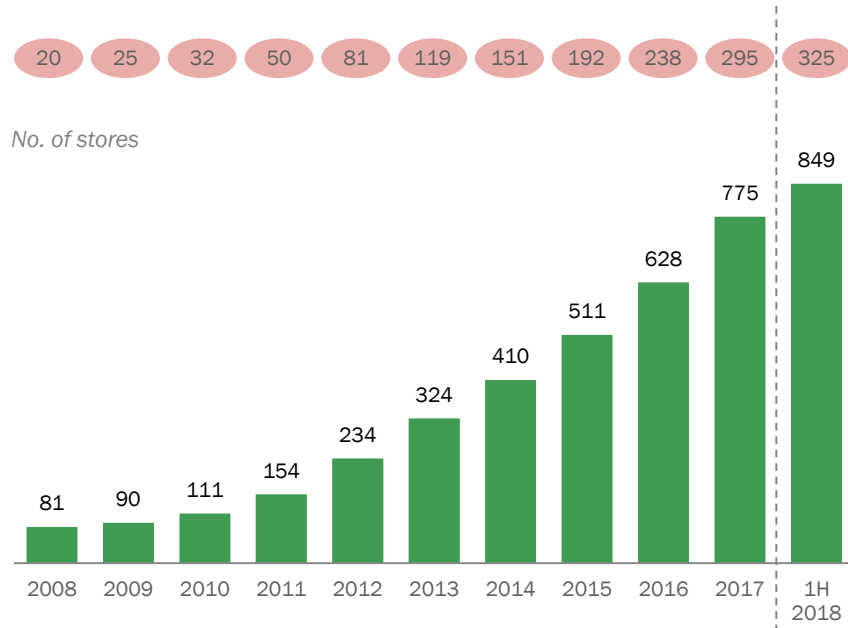
+0.2pp EBITDA¹ margin y-o-y
(+0.3pp in 1H 2017 y-o-y)

(1) Adjusted for the IPO-related one-off expenses incurred in 1H 2017 (PLN 12.3m)

Network expansion – higher number of stores and geographic composition

Network expansion to date

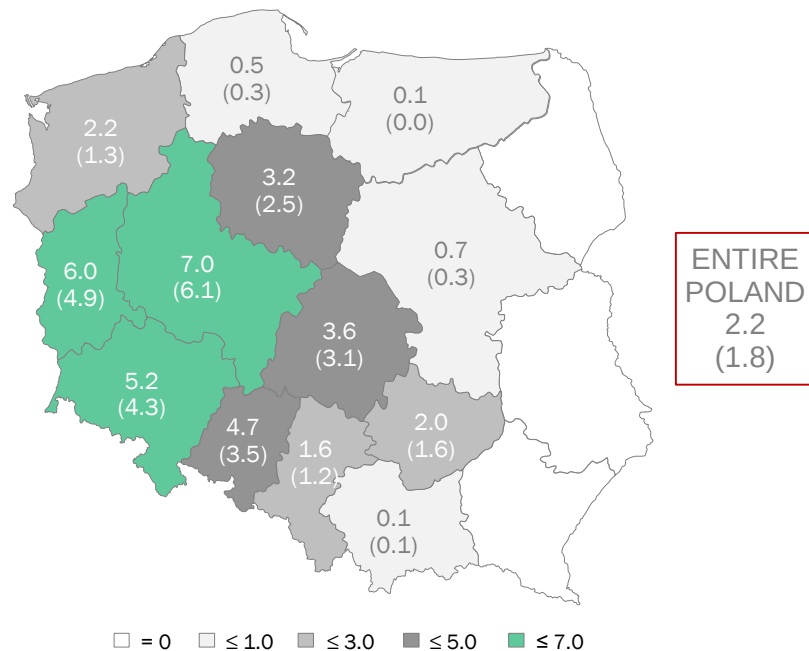
Net sales area ('000 m²)



Source: Company information

Regional coverage

Stores per 100k inhabitants as of June 31, 2018 (in brackets as of June 31, 2017)



Significant growth of LFL sales

Annual
Inflation
(deflation) %

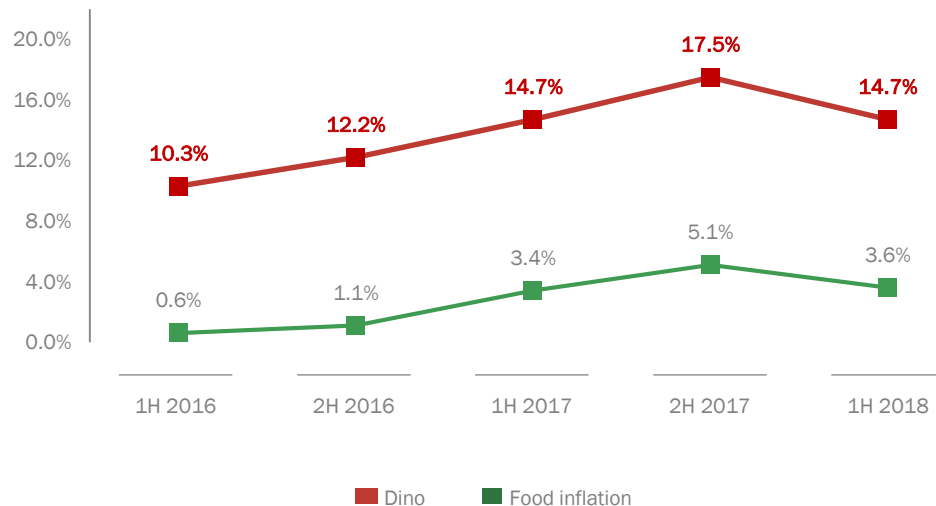
(0.9)

(0.3)

1.9

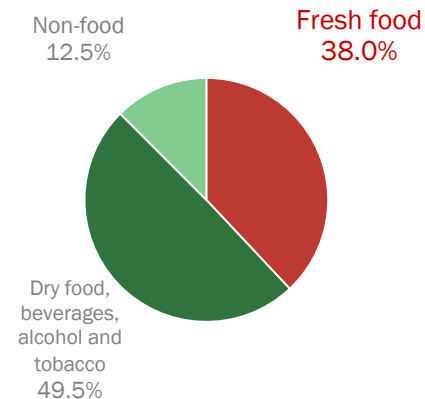
2.1

1.6



Sales mix

Product split by revenue (1H 2018)



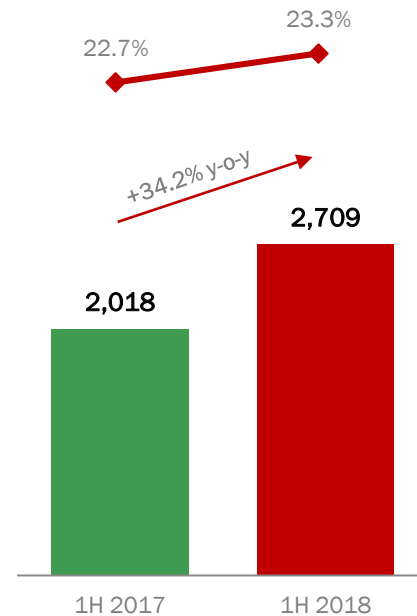
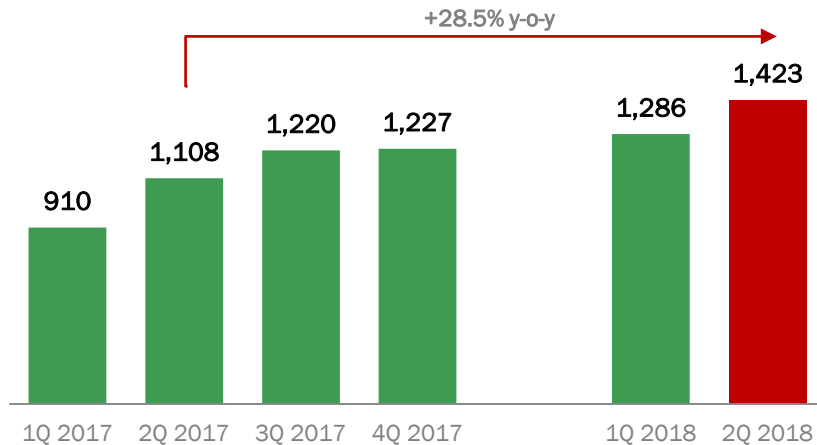
Source: Company information, Central Office of Statistics (GUS)

High revenue growth and improvement in the gross margin

Gross margin



Revenues (PLNm)



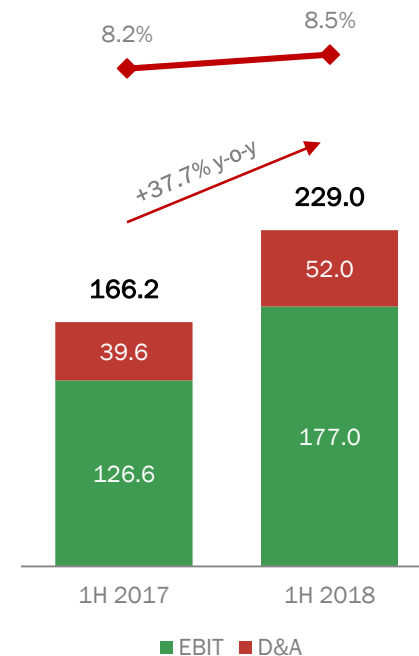
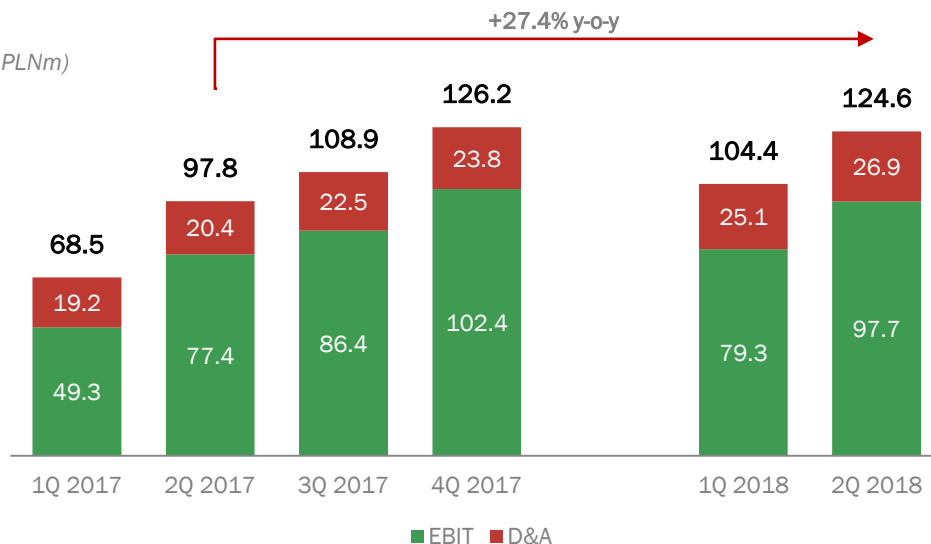
Source: Company financial statements

Consistent growth in results and the EBITDA margin¹

EBITDA margin



(EBITDA PLNm)

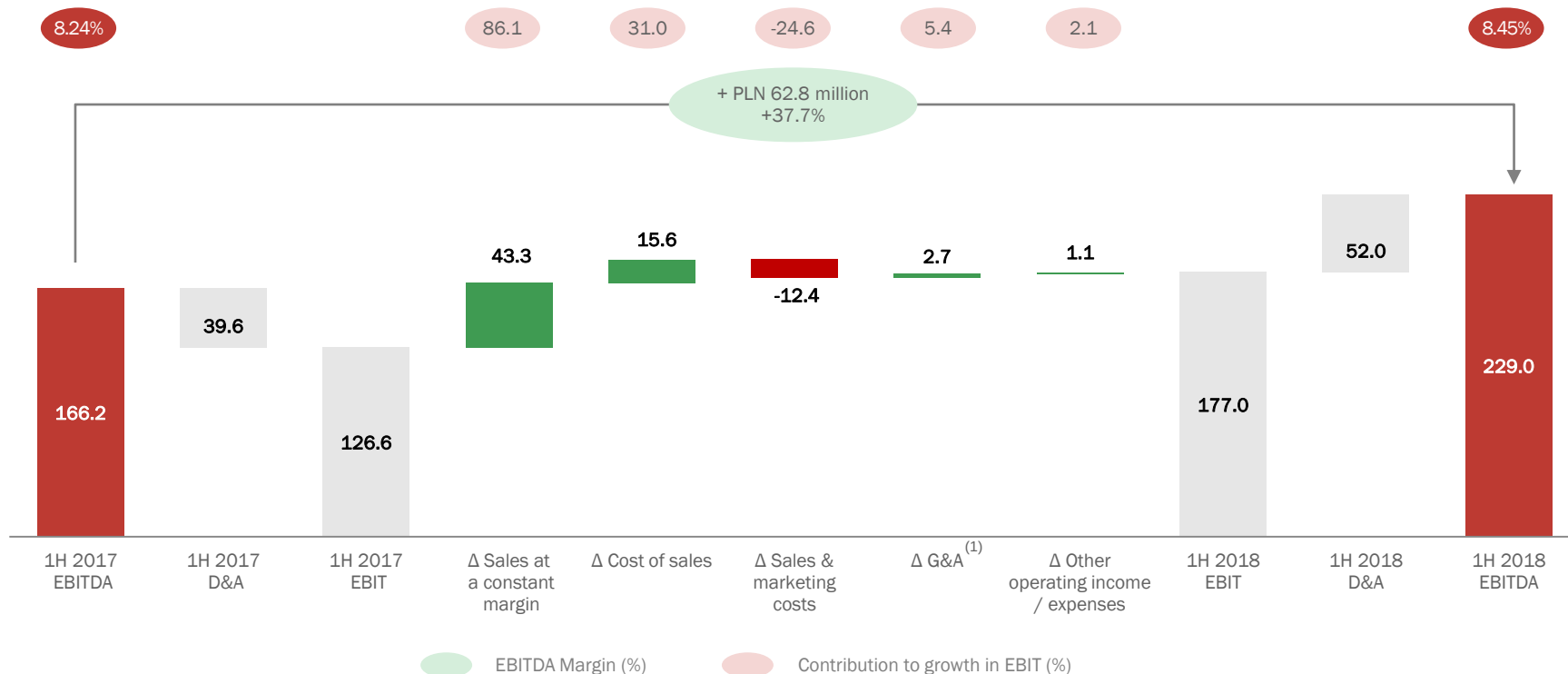


Source: Company financial statements

(1) Adjusted for the IPO-related one-off expenses of: PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

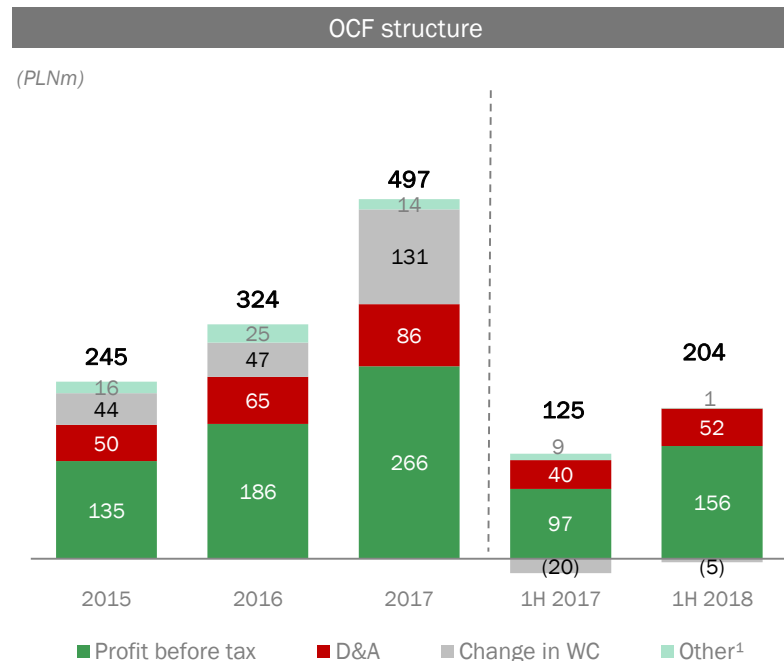
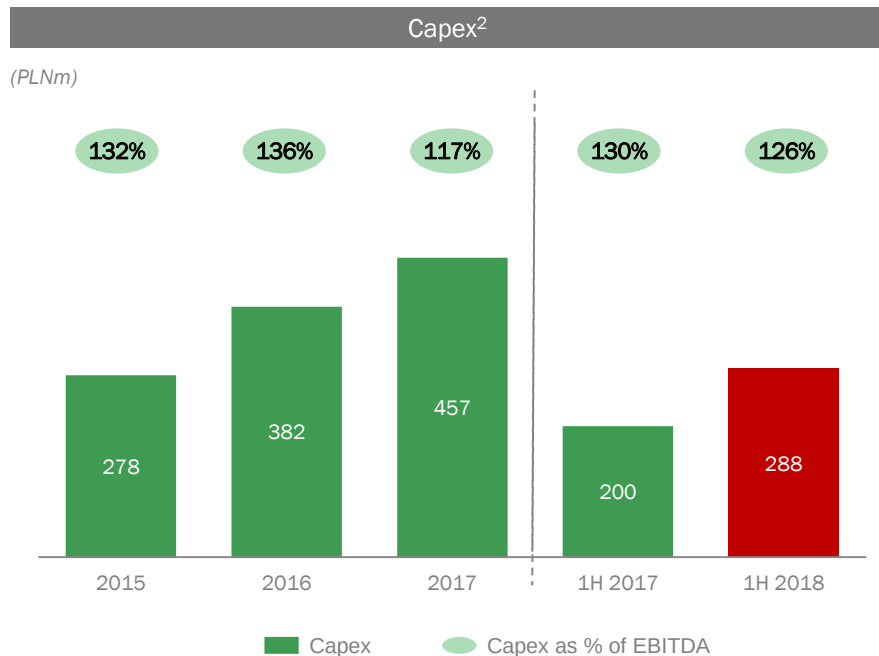
1H 2018 EBITDA bridge

(PLNm)



(1) Adjusted for the IPO-related one-off expenses incurred in 1H 2017 (PLN 12.3m)

Operating cash flow



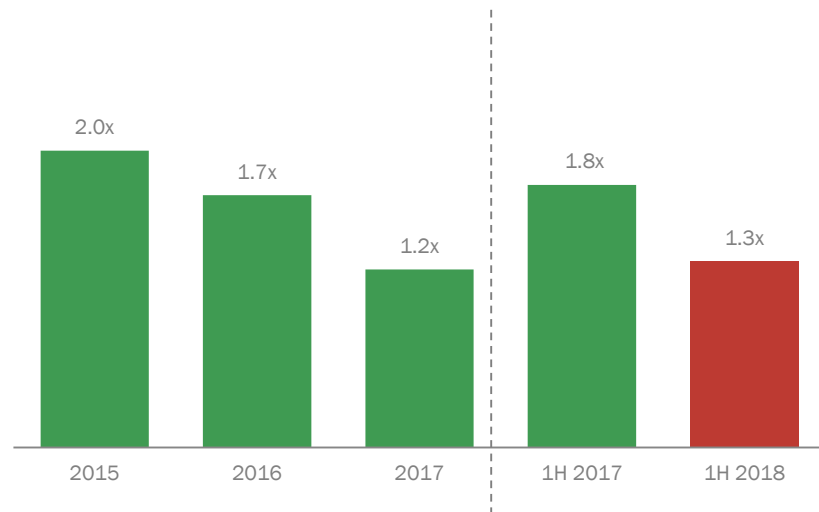
Source: Company financial statements

(1) Net interest expense, tax expense, change in accruals and provisions, investment activity gains and other adjustments

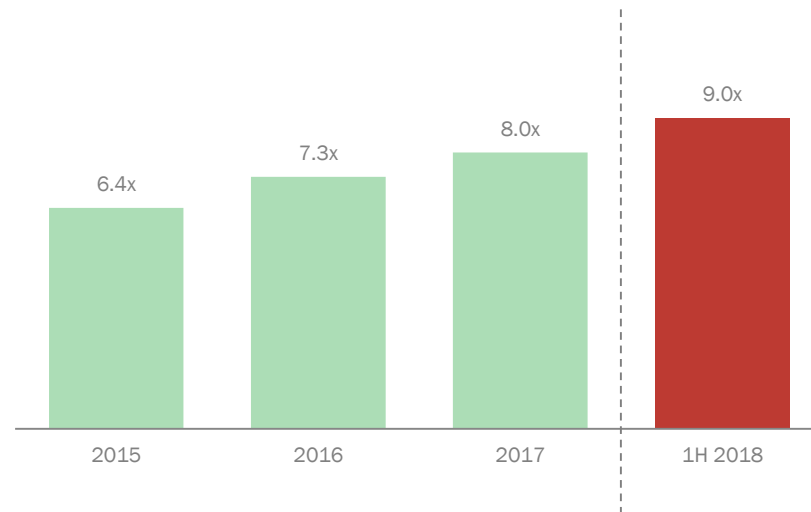
(2) Defined as the sum of purchase of items of property, plant and equipment and intangible assets

Balance sheet

Net debt / EBITDA⁽¹⁾



Interest coverage ratio⁽²⁾



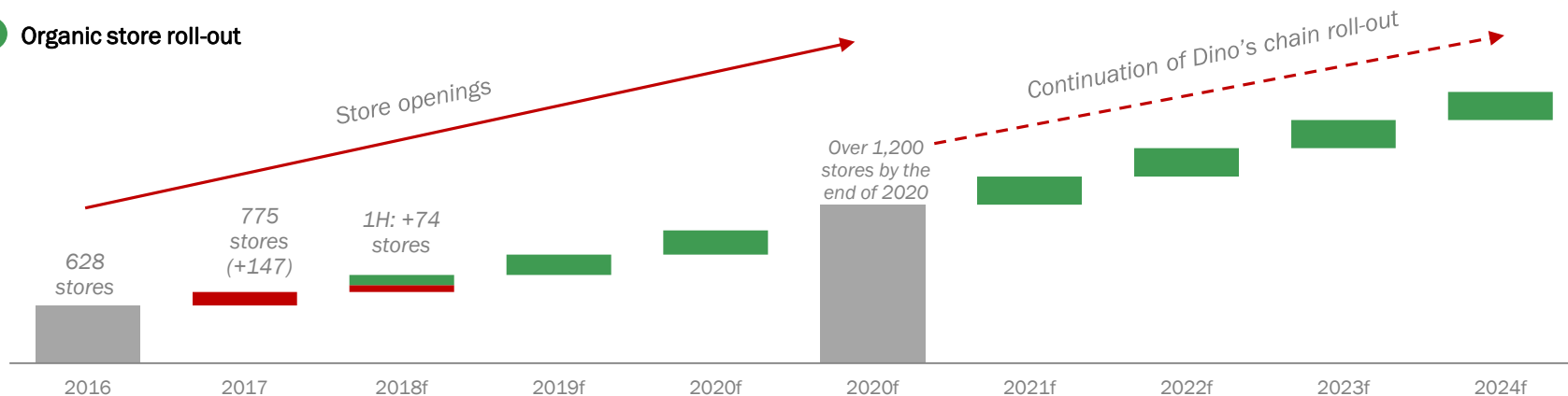
Source: Company financial statements

(1) Net debt to EBITDA defined as net debt divided by EBITDA (adj.) for the last twelve months

(2) Interest coverage ratio defined as EBIT divided by financial expenses for the last twelve months

Strategy update

1 Organic store roll-out



2 LFL growth

14.7%
LFL growth in 1H 2018
(vs 3.6% food inflation)

3 Improving profitability

+ 0.2 pp
EBITDA margin improvement
in 1H 2018 y-o-y

Source: Company information

Q&A



Company financial statements (1/5)¹

Profit and loss statement²

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018
Sales	2,108.0	2,589.6	3,369.5	4,515.9	707.4	826.1	916.6	919.4	910.3	1,108.1	1,220.2	1,277.4	1,285.6	1,423.5
Cost of sales	(1,644.1)	(2,004.7)	(2,599.0)	(3,475.3)	(547.7)	(640.1)	(705.4)	(705.8)	(701.7)	(858.3)	(937.6)	(977.7)	(988.1)	(1,090.2)
Gross profit	463.9	584.9	770.5	1,040.6	159.6	186.0	211.3	213.6	208.6	249.7	282.6	299.7	297.5	333.3
Other operating income	1.5	3.1	2.6	3.7	1.0	0.4	0.7	0.6	0.5	0.7	0.6	1.8	1.4	1.7
Selling and marketing costs	(324.6)	(391.6)	(505.9)	(678.7)	(113.3)	(123.0)	(137.4)	(132.2)	(149.7)	(160.7)	(183.1)	(185.1)	(206.3)	(222.8)
Administrative expenses and general overheads	(31.3)	(35.4)	(49.4)	(60.0)	(8.6)	(11.3)	(14.1)	(15.5)	(12.9)	(21.4)	(13.3)	(12.4)	(12.9)	(14.0)
Other operating expenses	(3.7)	(1.0)	(2.3)	(2.4)	(0.2)	(0.1)	(1.1)	(0.9)	(0.1)	(0.3)	(0.3)	(1.6)	(0.4)	(0.5)
Operating profit	105.8	160.1	215.6	303.2	38.6	52.0	59.4	65.6	46.3	68.1	86.4	102.4	79.3	97.7
Financial income	0.2	0.1	0.5	0.7	0.0	(0.0)	0.2	0.3	0.1	0.0	0.0	0.5	0.2	(0.0)
Financial expenses	(26.7)	(24.9)	(29.6)	(37.9)	(7.8)	(7.4)	(8.0)	(6.5)	(8.4)	(9.4)	(9.4)	(10.6)	(10.1)	(10.5)
Profit before tax	79.3	135.2	186.5	266.0	30.8	44.6	51.5	59.5	38.0	58.7	77.0	92.3	69.3	87.2
Income tax	(13.2)	(13.1)	(35.2)	(52.4)	(7.5)	(6.7)	0.4	(21.5)	(7.6)	(12.0)	(13.5)	(19.4)	(13.3)	(16.7)
Net profit from continuing operations	66.1	122.2	151.2	213.6	23.4	37.9	52.0	38.0	30.5	46.7	63.5	72.9	55.9	70.5

Source: Company financial statements

(1) Quarterly data unaudited

(2) Not adjusted for one-offs related to the IPO: PLN1,1m in 2Q '16; PLN2,7m in 3Q '16; PLN3,7m in 4Q '16; PLN3,0m in 1Q '17 and PLN9,3m in 2Q '17

Company financial statements (2/5)¹

Balance sheet														
(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018
Assets														
Property, plant and equipment	798.9	1,024.2	1,337.2	1,697.6	1,090.8	1,180.5	1,260.5	1,337.2	1,386.4	1,497.0	1,593.2	1,697.6	1,787.7	1,931.4
Intangible assets	90.7	92.3	93.1	92.8	92.0	91.5	92.1	93.1	92.5	92.2	91.7	92.8	92.8	93.5
Other non-financial assets (long term)	1.89	-	-	0.03	-	-	-	-	-	-	0.03	0.03	0.03	0.03
Deferred tax assets	37.0	34.3	26.9	17.6	30.4	32.8	34.4	26.9	21.9	23.2	22.3	17.6	14.6	12.2
Total non-current assets	928.6	1,150.8	1,457.1	1,808.0	1,213.1	1,304.7	1,387.0	1,457.1	1,500.8	1,612.3	1,707.2	1,808.0	1,895.1	2,037.2
Inventories	182.3	212.1	276.5	368.3	221.3	221.3	234.9	276.5	290.7	306.9	294.5	368.3	351.5	376.4
Trade and other receivables	18.8	21.7	33.7	38.0	9.4	11.0	17.6	33.7	19.2	29.3	17.9	38.0	20.7	19.5
Income tax receivables	0.05	0.11	0.61	0.08	0.11	0.01	0.03	0.61	0.60	0.03	0.04	0.08	0.10	0.14
Other non-financial assets	13.5	20.7	22.4	34.4	28.6	29.0	26.3	22.4	32.4	36.9	27.9	34.4	44.4	45.9
Cash and cash equivalents	23.7	33.9	66.4	202.6	13.8	24.5	43.0	66.4	36.4	43.1	60.2	202.6	178.0	190.1
Total current assets	238.4	288.6	399.7	643.4	273.3	285.8	321.9	399.7	379.3	416.1	400.6	643.4	594.7	632.1
Total assets	1,167.0	1,439.4	1,856.8	2,451.3	1,486.4	1,590.5	1,708.9	1,856.8	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3
Equity and liabilities														
Equity	410.1	532.2	683.5	904.5	555.7	593.5	645.5	683.5	714.0	768.1	831.7	904.5	960.4	1,030.9
Share capital	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8	9.8
Reserve capital	316.0	393.0	510.7	1,111.9	510.7	510.7	510.7	510.7	790.2	1,111.9	1,111.9	1,111.9	1,111.9	1,307.3
Retained earnings	84.2	129.4	163.0	(224.7)	35.1	73.0	125.0	163.0	(86.0)	(361.0)	(297.5)	(224.7)	(168.7)	(293.6)
Non-controlling interests	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total equity	410.1	532.2	683.5	904.5	555.7	593.5	645.5	683.5	714.0	768.1	831.7	904.5	960.4	1,030.9

Source: Company financial statements
(1) Quarterly data unaudited

Company financial statements (3/5)¹

Balance sheet														
(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018
Interest-bearing loans, borrowings and finance lease liabilities	286.0	361.8	452.4	470.6	370.0	399.2	436.7	452.4	487.2	508.5	490.6	470.6	502.7	537.3
Liabilities by virtue of outstanding securities	-	-	-	99.7	-	-	-	-	-	-	-	99.7	99.8	99.8
Other liabilities	-	-	0.3	0.3	-	0.8	-	0.3	0.3	0.3	0.3	0.3	0.2	0.2
Provisions for employee benefits	0.5	0.8	1.1	1.2	0.8	0.3	0.8	1.1	1.1	1.1	1.1	1.2	1.2	1.2
Deferred tax liabilities	1.6	0.6	5.5	3.5	3.4	7.9	3.9	5.5	6.2	6.3	3.4	3.5	7.1	8.2
Accruals	0.1	0.1	0.1	0.5	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.5	0.5	0.4
Total long-term liabilities	288.1	363.2	459.4	575.9	374.2	408.2	441.4	459.4	494.8	516.3	495.5	575.9	611.6	647.1
Trade and other payables	337.6	429.2	574.4	811.3	367.5	374.5	370.0	574.4	531.9	585.0	601.3	811.3	727.0	804.8
Current portion of interest-bearing loans and finance lease liabilities	118.2	101.5	110.2	117.1	178.3	199.3	237.5	110.2	112.5	124.9	147.4	117.1	145.3	134.9
Liabilities by virtue of outstanding securities	-	-	-	0.7	-	-	-	-	-	-	-	0.7	0.6	0.6
Income tax liabilities	4.6	3.4	10.3	20.7	0.01	3.4	3.1	10.3	4.2	15.5	14.4	20.7	20.2	21.5
Accruals	8.3	9.8	13.2	20.8	10.7	11.4	11.3	13.2	14.8	18.3	17.4	20.8	24.3	29.0
Provisions for employee benefits	0.05	0.1	5.9	0.4	0.1	0.1	0.1	5.9	7.8	0.2	0.2	0.4	0.4	0.4
Total current liabilities	468.8	543.9	714.0	971.0	556.5	588.7	622.0	714.0	671.3	744.0	780.7	971.0	917.7	991.2
Total liabilities	756.9	907.1	1,173.4	1,546.8	930.7	997.0	1,063.4	1,173.4	1,166.1	1,260.3	1,276.2	1,546.8	1,529.3	1,638.4
Total equity and liabilities	1,167.0	1,439.4	1,856.8	2,451.3	1,486.4	1,590.5	1,708.9	1,856.8	1,880.1	2,028.4	2,107.9	2,451.3	2,489.8	2,669.3

Source: Company financial statements
(1) Quarterly data unaudited

Company financial statements (4/5)¹

Cash flow

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018
Cash flows from operating activities														
Profit before tax	79.3	135.2	186.5	266.0	30.8	44.6	51.5	186.5	38.0	58.7	77.0	92.3	69.3	87.2
Adjustments for	109.2	110.2	137.9	231.2	(36.3)	9.6	18.3	137.9	(7.0)	35.6	59.7	142.9	(25.8)	73.7
Depreciation and amortization	41.9	50.2	65.2	85.9	14.5	14.9	17.2	65.2	19.2	20.4	22.5	23.8	25.1	26.9
Gain/(loss) from investing activities	0.4	0.2	1.6	1.3	(0.0)	0.1	0.2	1.6	0.02	0.2	0.2	0.9	0.3	0.3
Change in the balance of receivables	59.0	(10.8)	(15.6)	(16.8)	7.3	(0.5)	2.5	(15.6)	13.7	(17.3)	18.4	(31.5)	16.7	(1.4)
Change in the balance of inventories	25.5	(29.9)	(64.4)	(91.7)	(9.2)	0.0	(13.7)	(64.4)	(14.2)	(16.2)	12.4	(73.7)	16.8	(24.9)
Change in the balance of payables except loans and borrowings	(45.5)	84.2	127.2	239.7	(49.1)	(12.8)	9.6	127.2	(23.7)	37.6	13.1	212.7	(80.7)	68.5
Interest income	(0.2)	(0.1)	(0.4)	(0.5)	-	(0.0)	0.03	(0.4)	(0.0)	(0.0)	(0.0)	(0.4)	(0.1)	(0.1)
Interest expenses	26.5	25.0	29.7	38.1	7.7	7.2	7.9	29.7	8.5	9.5	9.4	10.7	10.1	10.5
Change in the balance of accruals	3.0	3.9	4.9	7.3	(3.5)	1.7	0.1	4.9	(4.5)	2.8	0.4	8.6	(6.5)	5.8
Change in the balance of provisions	0.2	0.1	6.2	(5.4)	-	-	-	6.2	1.9	(7.6)	-	0.2	-	-
Income tax paid	(1.6)	(12.6)	(16.5)	(34.1)	(4.1)	(1.0)	(5.6)	(16.5)	(7.9)	(1.3)	(16.7)	(8.3)	(7.3)	(11.9)
Other	(0.02)	(0.01)	0.04	7.4	0.04	-	-	0.04	0.04	7.5	-	(0.1)	-	-
Net CF from operating activities	188.5	245.4	324.3	497.2	(5.5)	54.2	69.8	324.3	31.0	94.2	136.8	235.2	43.5	160.8

Company financial statements (5/5)¹

Cash flow

(PLNm)	2014	2015	2016	2017	1Q 2016	2Q 2016	3Q 2016	4Q 2016	1Q 2017	2Q 2017	3Q 2017	4Q 2017	1Q 2018	2Q 2018
Cash flows from investing activities														
Proceeds from sale of property, plant and equipment and intangibles	0.4	0.9	1.1	8.0	0.6	(1.5)	(3.1)	1.1	0.1	1.1	6.4	0.4	0.7	0.2
Purchase of property, plant and equipment and intangibles	(170.7)	(243.5)	(311.7)	(410.6)	(84.8)	(74.0)	(101.6)	(311.7)	(83.0)	(89.3)	(113.3)	(125.0)	(119.0)	(160.5)
Sell of other financial assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Interest received	0.2	0.1	0.4	0.5	0.0	0.0	0.0	0.4	0.0	0.0	0.0	0.4	0.1	0.1
Net CF from investing activities	(170.2)	(242.5)	(310.2)	(402.1)	(84.2)	(75.4)	(104.6)	(310.2)	(82.9)	(88.2)	(106.8)	(124.2)	(118.3)	(160.2)
Cash flows from financing activities														
Payment of financial lease liabilities	(24.5)	(30.0)	(43.9)	(51.9)	(9.5)	(11.0)	(11.1)	(43.9)	(9.8)	(14.8)	(12.4)	(15.0)	(11.2)	(10.9)
Proceeds from loans and borrowings	111.7	141.8	219.1	117.3	98.8	62.4	87.6	219.1	57.5	41.4	24.1	(5.6)	89.7	124.2
Repayment of loans and borrowings	(72.8)	(79.5)	(127.1)	(86.8)	(12.2)	(12.2)	(15.3)	(127.1)	(17.4)	(16.5)	(15.0)	(37.9)	(18.2)	(91.3)
Issue of debt securities	-	-	-	100.0	-	-	-	-	-	-	-	100.0	-	-
Interest paid	(26.5)	(25.0)	(29.7)	(37.4)	(7.7)	(7.2)	(8.0)	(29.7)	(8.5)	(9.5)	(9.4)	(10.0)	(10.1)	(10.5)
Net CF from financing activities	(12.1)	7.3	18.4	41.1	69.5	31.9	53.3	18.4	21.8	0.6	(12.8)	31.5	50.2	11.4
Net increase/(decrease) in cash and cash equivalents	6.2	10.2	32.5	136.2	(20.1)	10.7	18.5	32.5	(30.0)	6.6	17.2	142.4	(24.6)	12.1
Cash and cash equivalents at the beginning of the period	17.5	23.7	33.9	66.4	33.9	13.8	24.5	33.9	66.4	36.4	43.1	60.2	202.6	178.0
Cash and cash equivalents at the end of the period	23.7	33.9	66.4	202.6	13.8	24.5	43.0	66.4	36.4	43.1	60.2	202.6	178.0	190.1

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